

locked in for the duration of the policy from your first premium. And this is something you need to know: The younger you are the cheaper you lock in for.

Touching thirty is usually a good time to buy the cover. You are old enough to have a good income flow and dependants, but not that old for covers to be too expensive. The cost of life cover rises exponentially as you age. A cover of Rs 1 crore for a thirty-year-old will cost between Rs 8,000–10,000 a year. For a forty-five-year-old, this cost will more than double.

Did I hear you rushing to buy for your twenty-year-old son who is still in college and is some years away from earning? You say: You just said lock in early, I'm just doing that, no? Ah ... but there needs to be an income that you are insuring! The cover you get is a multiple of what you earn. So no income means that the chances of a large cover are slim. So, buy early, and buy cheap. But remember that you will have to revisit this decision several times over the next 25–30 years.

What about the taxes?

Hello! But what about my tax-saving? What am I going to do for that? Lots of fish in that pond, so chill. We've been brought up to think that a life insurance premium is the only way to do tax-saving at the end of the year.

I used to get a lot of panicked calls around 15 March every year asking for what to do about making the tax-saving investment. Since there is a little bit of work to be done in on-boarding other products in the 80C basket, and the insurance agent gets a fat 42 per cent of your first premium as commission, guess which is the easier to buy? Why did the panic calls stop? Friends and family got smarter. Also I think I may have snapped at some – if you ask me the same thing every year on 15 March, and then go and buy another damn policy, I'll finally snap, no? Human and all that.

You have plenty of options in the 80C basket. But for investment, you can do a special five-year bank deposit that gets you the same tax break. You can invest in the public provident fund (PPF), the National Pension Scheme (NPS) or a tax-saving mutual fund.